

Exchange Rate Pass-Through in Emerging Markets

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Introduction

Exchange rate pass-through (ERPT) refers to the degree to which changes in the nominal exchange rate translate into changes in domestic prices — particularly import prices and, ultimately, consumer prices. In open economies, the exchange rate serves as a critical transmission channel linking external monetary conditions, trade flows, and domestic inflation. For emerging markets, where currencies are often subject to pronounced volatility and where import dependency is high, ERPT is a first-order concern for both monetary policymakers and business decision-makers.

The degree of pass-through is not uniform. Empirical evidence consistently documents that ERPT is incomplete — that is, a one percent depreciation of the domestic currency raises consumer prices by less than one percent — and that its magnitude varies substantially across countries and over time. Understanding the determinants of this variation is essential for calibrating appropriate monetary policy responses and for anticipating the inflationary consequences of exchange rate movements.

Mechanisms of Exchange Rate Pass-Through

ERPT operates through several interconnected channels. The most direct is the import price channel: when a domestic currency depreciates, the local-currency cost of imported goods rises, increasing production costs for firms that rely on imported inputs and raising consumer prices for imported final goods. In emerging economies, where manufactured imports constitute a substantial share of consumption and investment, this channel tends to be particularly potent.

Beyond the direct import price effect, ERPT propagates through the inflation expectations channel. In economies where agents have historically experienced high and volatile inflation, exchange rate depreciations may trigger rapid upward revisions to wage and price expectations, amplifying the initial price-level effect and generating secondary inflationary dynamics. This expectations channel is closely tied to central bank credibility: where the monetary authority is perceived as committed to a stable price target, depreciation-induced expectation shocks are more easily contained.

Determinants of Pass-Through in Emerging Markets

Several structural and institutional factors drive the observed heterogeneity in ERPT across emerging economies. First, the prevailing inflation environment matters substantially: high-inflation economies tend to exhibit higher pass-through, as firms adjust prices more

frequently and consumers have weaker confidence in nominal anchors. Second, the degree of trade openness and the composition of imports — particularly the share of invoiced in foreign currency — affect the speed and magnitude of price transmission. Third, monetary policy credibility is a key moderating factor. Economies that have successfully anchored inflation expectations through robust inflation targeting frameworks tend to display lower pass-through coefficients, as agents trust that the central bank will offset exchange rate shocks before they become embedded in the price level.

Market structure also plays a significant role. In sectors characterised by limited competition, domestic producers may absorb exchange rate movements into profit margins rather than passing them through to consumers — a phenomenon known as pricing-to-market. Conversely, in highly competitive import-facing sectors, cost increases from depreciation are more likely to be transmitted directly to retail prices.

Policy Implications

For monetary authorities in emerging markets, the magnitude and speed of ERPT has direct implications for the conduct of policy. High pass-through implies that exchange rate depreciations — whether driven by capital outflows, commodity price shocks, or external financing conditions — pose an immediate and significant inflationary risk, potentially requiring a tightening monetary policy response even in the absence of domestic demand pressures. This dynamic can create difficult trade-offs between supporting economic activity and maintaining price stability.

Reducing the structural level of ERPT over time requires a combination of sustained disinflation, institutional strengthening of the central bank, and the development of domestic capital markets that reduce reliance on foreign-currency-denominated financing. Evidence from economies that have successfully completed inflation stabilisation programmes suggests that ERPT declines significantly as credibility is established and inflation expectations become well-anchored — creating a virtuous cycle in which lower pass-through itself facilitates more effective monetary policy transmission.

Conclusion

Exchange rate pass-through remains one of the most consequential channels through which external shocks affect domestic price stability in emerging markets. Its magnitude is shaped by a combination of structural economic features, market characteristics, and — critically — the credibility of the monetary policy framework. Policymakers seeking to reduce inflationary vulnerability must therefore pursue not only appropriate interest rate settings, but the broader institutional reforms that reduce the sensitivity of domestic prices to exchange rate fluctuations over time.
